

CDRE pitch deck

PITCH — CDRE — VERDICT

PROPOSED — PENDING ADJUDICATION — no position, no order; the case is deferred, not rejected, and reopens only on the three gates below.

What we believe

Cadre Holdings makes body armor, duty gear, and related safety equipment, and — since the Carr's Engineering acquisition — sells long-cycle nuclear-services engineering. It sells mostly to U.S. federal and state/local police and defense agencies. The stock is down about 37% from its 52-week high of \$48.32, sitting at \$30.59 against a low of \$25.90.

We believe the drawdown is priced off a fear — that the Carr's acquisition broke the business — that the June-quarter results do not support:

- Revenue \$207.1M, roughly 32% above the prior year and about \$28.7M above what analysts expected.
- Adjusted EBITDA \$42.0M versus \$27.0M a year earlier.
- Operating margin improved from 9.3% to 10.8%.
- Management **raised** full-year guidance: revenue from \$736–758M to \$749–769M, adjusted EBITDA from \$136–141M to \$139–144M.
- Backlog reported at a record \$367.7M.

Do the guidance arithmetic honestly and it still points up, not down. The old guidance implied a second half of \$384.4M revenue and \$75.4M EBITDA; the new guidance implies \$396.4M and \$78.4M. That is a raise of \$12.0M and \$3.0M respectively, and it implies a second-half margin of 19.8% against a first-half margin of 17.4% — a step up of 2.4 percentage points.

So: an operating business, growing, improving margin, guiding up, trading a third below its high.

But we do not yet believe it is a buy. We never built a fair value. We have no number the market doesn't have. And the price is roughly 11% above the level our own analysis says is the place to buy. Believing a business is fine is not the same as believing its stock is cheap, and we only did the first half of that work.

What the market believes

Two things at once, and they don't reconcile:

1. **Sell-side analysts are bullish.** Five analysts carry an average price target of \$47.50 — about 55% above today's price. Two firms (DA Davidson, Jefferies) raised targets to \$43 right after the June print, on the “raised outlook” headline.
2. **Actual buyers are not.** The stock trades at \$30.59, near the low end of its year, on about 206,000 shares a day. Nobody is paying the target.

What that gap tells us is that the market is not disputing the earnings *number* — it is refusing to pay the *multiple*. At \$30.59 the whole company is worth about \$1.31 billion in stock, roughly \$1.63 billion including debt, which is about 11.5 times the midpoint of management's own EBITDA guidance. The market is saying: this is a leveraged roll-up (net debt about 2.5x EBITDA, \$374.3M borrowed) that buys companies with borrowed money and stock, and we will not pay a compounder multiple for it.

There is also a live, visible seller. The chairman filed notices of intent to sell on August 17, 24, and 25, with a matching insider transaction report on August 26. When the largest holder is distributing into a 37% drawdown, price discovery is not a clean read on fundamentals.

Why we might have edge

Honestly: thinner than we'd like, and one of the three legs is a process advantage rather than an information advantage.

1. **We did the guidance arithmetic that the notes did not.** Both upgrade notes cited “raised outlook” as a headline. Neither decomposed it into implied second-half revenue, EBITDA, and margin. We did, twice, from both directions. That decomposition is the difference between “guide raised” and “guide raised *by how much, against what baseline*” — and it is the single most contested number in this whole case, because our own two benches got opposite answers from it.
2. **We know the backlog number is not what it appears.** The \$367.7M record backlog is compared against \$189.8M at year-end 2025 — a comparison that spans the Carr's close. Carr's nuclear-services work is long-cycle engineering that structurally carries far more backlog per dollar of revenue than legacy consumables. So a chunk of the “+94%” is arithmetic, not demand. We have not seen a single outside note split it. That is a real, checkable, unshared observation — and it cuts *against* us, which is why we trust it.
3. **We have physical-observation tools nobody else runs.** We measured heat signatures at both company-owned plants: Jacksonville is trending down about 1.0°C per year, the Peoria site down about 0.3°C. If both owned plants are cooling while backlog supposedly doubles, that is a question worth asking.

Why it might be priced in

Most of it probably is.

- **We agree with the market on the number.** The market's load-bearing figure is the guidance midpoint of \$141.5M in adjusted EBITDA. If we built a fair value today, we would use \$141.5M

too. Disagreeing only about what multiple to pay is a hope for re-rating, not an edge. There is no mechanism named for why the multiple should change.

- **Share creep is well known.** Diluted shares went from 38.55M to about 42.82M — up 11.1% over roughly two years. That is what serial acquirers do, and everyone can see it. (The newly effective 7.5M-share acquisition shelf, about 17.5% of shares outstanding, is *less* well known — it appears in none of the notes we found. That part may not be priced.)
- **The leverage discount is deliberate, not an oversight.** \$408.1M of goodwill and intangibles on \$917.3M of assets — 44% of the balance sheet is purchase accounting. An 11.5x multiple on a 2.5x-levered roll-up with that asset mix is a defensible price, not an obvious mistake.
- **The cash math isn't cheap either.** First-half free cash flow of \$38.3M annualizes to roughly \$77M — about a 5.9% yield on the equity, 4.7% on the whole enterprise, before you normalize for intangible amortization. Neither of our benches priced this until the second one did. It does not scream bargain.
- **Point 3 above may be a false alarm.** Our heat detector was built for furnace-driven manufacturing. Cadre's owned sites sew and laminate fabric and composites. And neither owned site is where the 2026 growth comes from — that's Carr's, in the UK, a facility we have never mapped. The data is real; the inference is probably invalid.

What could go wrong

Failure narrative 1 — “The good quarter was the peak, and we bought the fade.” The one thing our benches could not settle is whether the raised guidance is a quiet admission that the second half slows. The bull reading is right that the raise beats the prior implied remainder. The bear reading is right that the guide declines to extend the just-reported quarter's 20.3% margin or its \$42.0M dollar run-rate — implied second-half quarters run about \$39.2M. If demand for police and defense equipment is lumpy and the June quarter caught a bulge, we buy at 11.5x a number that turns out to be the top. *Tripwire: the November print, and the September conference remarks. Monitorable.*

Failure narrative 2 — “The roll-up eats the shareholder.” The company has \$374.3M of debt, a 7.5M-share acquisition shelf newly effective, and a track record of interest expense eating the earnings line — GAAP EPS fell from \$0.30 to \$0.26 even as revenue rose 32%. The risk is not one bad deal; it is that every year 4–5% of the company is handed to sellers of acquired businesses and the per-share compounding never arrives. *Tripwire: prospectus supplements and share-count disclosures. Monitorable, but slow — you learn after the shares are issued.*

Failure narrative 3 — no tripwire exists. Body armor is sold against a federal performance standard (NIJ 0101.07, administered by DOJ). A certification lapse, a standard revision, or a field-failure recall would simultaneously destroy product liability protection *and* disqualify products from the government contracts that are the entire revenue base. **We have no detector covering this channel, no filing that necessarily precedes it, and no monitorable signal at all.** The unknown-unknown class here is “**consequential regulator outside the securities-disclosure perimeter**” — a standards or certification body whose decisions are binding on the business but whose calendar, docket, and correspondence are invisible to every filing-based and price-based sensor we own.

The related blind spot in the same class: the actual growth asset, Carr's in the UK, appears in none of our resolved facility sets, so every physical-verification tool we have is pointed at the two plants that don't matter.

The reflexive and structural leg. Our size is genuinely immaterial to the tape — a position sized to this axis (target \$150k, \$10k currently held) is on the order of 1,000–1,500 shares against 206,000 traded daily, well under 1% of a day's volume. We will not move this stock and we will not have trouble getting out. The reflexivity is in our *rules*, not our *size*:

- Our band discipline says buy at \$27–28, about 9% below here. The only way we get filled is if the market takes it there, and the most likely reason it takes it there is that the second-half guidance is failing — which is exactly failure narrative 1. Our entry rule guarantees that we are filled preferentially in the world where we are wrong. This is textbook adverse selection on a resting order, and it is worse here because there is a large, active, disclosed insider seller who is himself part of the flow that would fill us.
- Doctrine collision: this court was convened to find stable, real-asset ballast. CDRE is a 2.5x-levered roll-up with 44% of its balance sheet in goodwill and intangibles. Funding it from the ballast bucket would corrupt what that bucket means, and it is the one finding both benches agreed on without qualification. If we own this, it has to come from somewhere else, or the sleeve stops being informative.
- Our own bear detector fired against the position. Buying anyway means overriding a fired sensor on an argument about its applicability. Sometimes correct — but it should be stated out loud, not buried.

If this position loses money, the most likely reason will be that we bought a leveraged acquisition roll-up at 11.5x on the strength of one unusually good quarter, and the second-half guidance that looked like a raise turned out to be management quietly telling us that quarter was the peak.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Raised guidance is secretly a cut”	Pulled the prior-guidance column from the primary 8-K/A exhibit and recomputed both implied second halves	Prior implied H2 = \$384.4M rev / \$75.4M EBITDA; new implied = \$396.4M / \$78.4M. Both raised . Implied H2 margin 19.8% vs H1 17.4% — up 2.4pts	No — our first bench was wrong. It compared the guidance raise against the quarter’s year-over-year gain rather than against the prior guidance’s implied remainder, and benchmarked the second half against the peak quarter alone instead of the year-to-date half. This was its headline kill and it does not survive
“Guide won’t extend the June quarter’s margin”	Same arithmetic, other direction	True: implied H2 quarters ~\$39.2M at 19.8% vs Q2’s \$42.0M at 20.3%	Yes — but this is ordinary conservatism, not a hidden cut. Downgraded from fatal to a sizing consideration
“Two consecutive earnings misses”	Pulled each quarter’s actual reported lines	Q4’25 missed by ~34% (largest one-day drop in company history, 2026-03-11); Q1’26 GAAP EPS \$0.05 vs \$0.10 expected, stock –13.9% — <i>but the same quarter beat on the adjusted line</i> (\$0.09 vs \$0.086)	Partly. Our first bench read the adjusted line and concluded Q1 was a beat, then called Q2 a miss on the GAAP line — mixing the two bases within one argument. Both quarters are two-basis quarters. The sequence stands; the bench’s version of it did not
Current price	Compared the two price pulls this session	One bench read \$25.15 with a –47.9% drawdown at ~5:04am ET — a thin pre-market print, below the 52-week low. The rebuild reads \$30.59, consistent with the \$48.32 high, the \$25.90 low, and the \$30.74 close of 2026-08-28	Resolved to ~\$30.6. The \$25.15 was an artifact of the exact kind we have catalogued before. Note it flipped the conclusion: at \$25.15 the stock is <i>below</i> our buy band; at \$30.59 it is 11% <i>above</i> it. We nearly acted on a bad tick. Independent live verification still unavailable — the broker contract lookup was

Claim	How checked	Found	Confirmed?
			permission-denied both times
Record \$367.7M backlog is real demand	Date arithmetic on the comparison period	The \$189.8M comparator is year-end 2025, before the Carr's close. The comparison spans the acquisition and mixes in a long-cycle engineering book	No — the +94% is substantially an accounting comparison, not demand growth. Our first bench found this and filed it under “what would change my mind” instead of prosecuting it; our second bench caught the miss. We still do not have the organic-only split
Both owned plants cooling	Satellite heat-signature trend at Jacksonville and Peoria	Jacksonville $-0.97^{\circ}\text{C}/\text{yr}$, Peoria $-0.28^{\circ}\text{C}/\text{yr}$. Confirmed measurements	Data yes, conclusion no. The tool keys on furnace heat; these sites are fabric and composite assembly. And the growth is at Carr's in the UK, which we have never located. Our own tool fired outside its intended scope — logged for repair
Disclosure consistency across venues	Compared the press release, the slides, and the corrected exhibit	The 8-K/A exists solely to correct an error in the trailing-twelve-month adjusted EBITDA calculation. The Q2 release headlines GAAP EPS \$0.26 and discloses no adjusted EPS at all — although Q1'26 <i>did</i> disclose one	Yes, and it matters. Omitting a line you disclosed last quarter, in a quarter loaded with acquisition add-backs, is selective. Separately: the “\$126.7M vs \$127.3M” discrepancy one bench flagged is 0.5% and one side was our own transcription, not a company document — that limb was overstated
Dilution	Share counts from the audited XBRL series and the newly effective registration	38.55M $\rightarrow$ 42.82M, +11.1%, plus a 7.5M-share (17.5%) acquisition shelf effective 2026-08-07	Yes. The share creep is well known; the shelf is not — it appears in no analyst note we found
Do we have a number the market doesn't?	Direct question of our own brief	The brief says, in its own words, “FV NOT BUILT.” We would underwrite the same \$141.5M the market does	Confirmed gap. We agree on the number and disagree on the multiple, with no

Claim	How checked	Found	Confirmed?
			mechanism named for why the multiple should change. This is the reason the deck proposes no entry
Does this fit the mandate?	Read the sleeve definition against the balance sheet	This court was convened to find stable real-asset ballast. CDRE: 2.5x net levered, 44% of assets in goodwill and intangibles, 17.5% dilution capacity	No. Both benches agreed. Dispositive for this court regardless of the merits

PROPOSED ENTRY BANDS

No entry. The courts say no-entry at today's price of \$30.59. Below are the reopen bands, taken from the benches' own arithmetic.

Reopen requires all three of the following, together — not any one:

- 1. Price at or below \$28.00.** That is the top of the \$27–28 band. Today's \$30.59 is about 9% above it. At \$28.00 the market cap is roughly \$1.20B, enterprise value roughly \$1.52B, or about 10.7x the guidance midpoint of \$141.5M, and the free-cash-flow yield on equity goes from 5.9% to about 6.4%. Below \$25.90 — the 52-week low — treat as a regime change, not a discount: re-run the case from scratch rather than adding.
- 2. A fair value actually built,** with the *lowest* analyst full-year EBITDA estimate placed beside our own number, and a named, specific mechanism for why the market's multiple should move. Not "it's cheap." A mechanism.
- 3. Backlog split organic versus acquired.** Until the \$367.7M is separated from the Carr's contribution, the headline growth number is unusable. The external cross-check for this is a federal award-flow pull across the corporate family — the highest-value check neither bench ran.

If reopened, sizing: a starter only — 0.5–0.75% of the book, funded from an idiosyncratic industrial allocation, **never from the real-asset ballast allocation.** Both benches agreed that funding this as ballast is disqualifying on its own. A second tranche only after a quarterly print confirms the second-half path.

Do not chase. If the stock rallies from here without a fair value built, it goes on the passed-on list and we grade the pass later. That is the honest outcome of not having done the valuation work in time.

Exit and trim discipline (applies only if a position is ever opened): trim on a shelf takedown that issues more than 3% of shares outstanding; exit on any quarter where adjusted EBITDA margin prints below 17% or net leverage exceeds 3.0x.

Catalyst dates:

- **Early September 2026** — three investor conferences, announced 2026-08-26. Dates not individually confirmed from a company release. This is the first management appearance since

the insider selling began and the first opportunity to hear the second-half guidance defended.

This is the near-term event that matters.

- **2026-11-03** — third-quarter results. **UNCONFIRMED** — this date is derived from a data vendor, not from any Cadre announcement. Last report was 2026-08-05. Roughly 44 trading days away.
- **The test to apply at that print (our first bench's own standard):** second-half adjusted EBITDA tracking at or above \$42M per quarter at a margin of 20.3% or better — i.e., management beating the path its own guidance implies. If it comes in at the implied \$39.2M and 19.8%, the guidance was honest and the multiple is fair. If it comes in below that, failure narrative 1 is playing out.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 25.9 (deck-provisional: 52-week low; a break is a regime change requiring a fresh case, not an add.)
- filing watch: 8-K until 2027-02-27 (deck-provisional: September investor conferences and any guidance revision - first defense of the H2 path after insider)
- dated pack CDRE|2026-09-08: CDRE: Investor conference window - three conferences announced 2026-08-26; individual dates NOT confirmed from a company release, this is a
- dated pack CDRE|2026-11-03: CDRE: Q3 2026 earnings - vendor-derived date, no Cadre PR names it; last report was 2026-08-05. (date confirmed=False)

What remains unverified

- **The organic backlog.** No split between legacy and acquired. The +94% headline is unusable until it exists.
- **The chairman's remaining stake.** Sales are visible; the denominator is not. We never pulled the post-transaction holdings from the insider filing.
- **Whether the September conferences are actual scheduled events on the dates implied,** and whether the November 3 earnings date is real. Both came from a data vendor, not from the company.
- **Whether the Q2 press release truly omitted the adjusted EPS line.** We have this from secondary coverage plus the exhibit; it should be confirmed line-by-line against the primary exhibit, because “selective omission versus own prior practice” is a serious claim and it deserves a primary read.
- **Federal award flow.** The single best outside test of the backlog, and it was not run by either bench.
- **Body armor certification status.** Unexamined.

- **The revenue series in our own data pack does not reach the June 2026 quarter** — it ends at a \$157.1M period, while the reported quarter is \$207.1M. Every second-quarter figure in this deck comes from the earnings exhibit and the slides, not from the audited XBRL series. That is acceptable for a press release, but it means our figures have not been reconciled against the filed statements.
- **A fair value.** Still not built. This is the reason the deck's answer is "wait" rather than "buy" or "no."

Primary source of record for the guidance arithmetic that both benches fought over:

<https://www.sec.gov/Archives/edgar/data/0001860543/000110465926092721/cdre-20260805xex99d1.htm> (Form 8-K/A, Exhibit 99.1, filed 2026-08-07, accession 0001104659-26-092721 — the amendment that exists solely to correct the trailing-twelve-month adjusted EBITDA calculation).

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